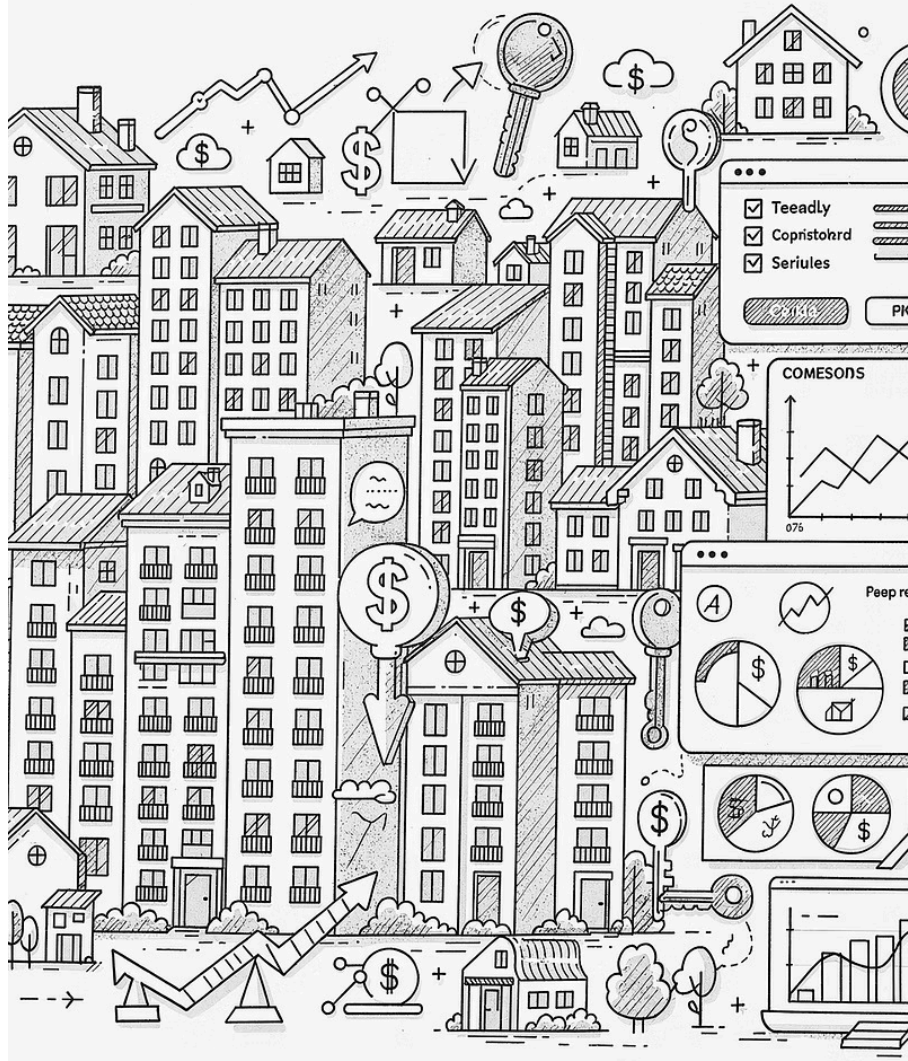
Entrata (ENT) — Equity Initiation

CONSTRUCTIVE

BASE TARGET: $16.50/SHARE

A high-quality vertical software IPO candidate powering the U.S. multifamily real estate market. Revenue grows from **$509M in 2025 to $832M by 2028E**, with non-GAAP operating margin expanding from **23% to 30%**. Valuation anchored at **5.7x 2026E EV/Revenue**, cross-checked with 2027E EV/Revenue and EV/non-GAAP operating income.



INVESTMENT THESIS

Why ENT Is a Premium Vertical Software Asset



Large, Under-Digitised Market

$1T annual rental spend across **23.4M U.S. multifamily units**. Entrata currently powers **2.5M units (~10%)** of the addressable market, leaving substantial runway for platform penetration.



Enterprise Validation

233 customers with ARR above $500K, representing **84% of total ARR**. Large-customer concentration improves revenue quality, reduces churn risk, and supports a premium valuation multiple.



Unified Data & AI Flywheel

A single data layer spanning property management, payments, resident experience, and AI automation (ELI+) creates deep switching costs and expands ARPU without requiring new unit adds.

MODEL ASSUMPTIONS

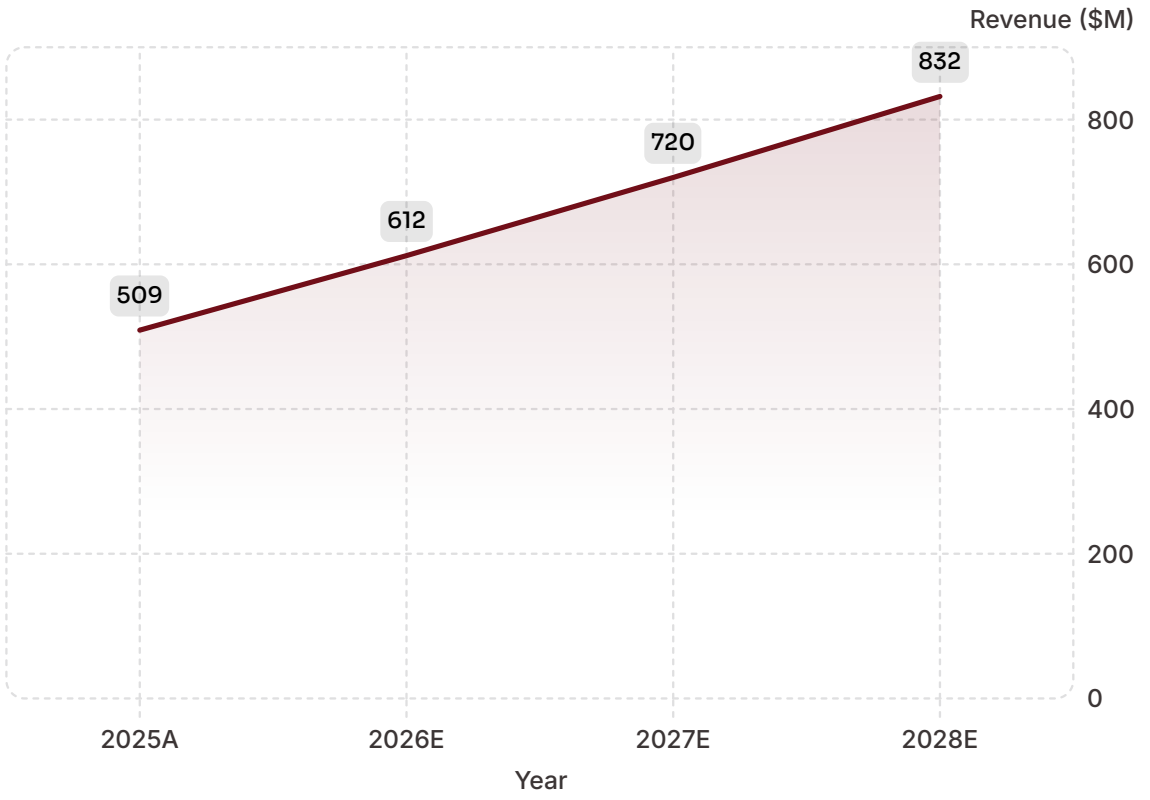
Key Model Assumptions — Intentionally Conservative

Unit growth decelerates from historical levels as the installed base scales. ARPU expansion is supported by cross-sell, ELI+, payments, and embedded products — yet by 2028E, modelled ARPU of **$256** remains well below the high-ARPU customer benchmark of **~$580**.

Driver	2026E	2027E	2028E	Rationale
Unit growth	11%	10%	9%	Decelerates from historical pace as base scales
ARPU growth	8%	7%	6%	Cross-sell, ELI+, payments, embedded products
Revenue growth	20%	18%	16%	Units × ARPU model; consistent deceleration
Gross margin	62%	63%	64%	Scale benefits on fixed cost base
Non-GAAP op margin	26%	28%	30%	Operating leverage on G&A and R&D
Capex / revenue	3%	3%	3%	Normalised investment level for SaaS
Fully diluted shares	199.2M	201.2M	203.2M	IPO dilution assumption embedded in model

REVENUE MODEL

Revenue Build: Units × ARPU



Units

2.44M → 3.25M (2025A–2028E)
New customer wins and existing-customer expansion both contribute to growth.

ARPU

$209 → $256 (2025A–2028E)
Driven by additional product adoption and embedded revenue streams.

Revenue Mix

Subscription-related revenue remains **~85%** of total revenue throughout the forecast period, anchoring quality and predictability.

KPI SCORECARD

Platform KPIs — ARPU Is the Key Upside Lever

Net retention of **117%** validates the expansion thesis. The decline in gross retention from 99% to 97% warrants monitoring but does not materially threaten the thesis at current levels.

117%

Net Retention

Confirms existing customers are expanding spend year-over-year across additional modules.

97%

Gross Retention

Strong, though the decline from 99% is a watch item for future quarters post-IPO.

233

Enterprise Customers

Customers with ARR >$500K — representing 84% of total ARR. Supports premium multiple.

~47%

Rule of 40

2025A score; remains ~46% in 2026E. Comfortably above threshold for premium SaaS multiples.

FINANCIAL MODEL

P&L Output — Growth and Margin Expansion in Tandem

The model shows the combination institutional investors value most: **durable growth** alongside **consistent margin expansion**. Non-GAAP operating margin reaches **30% by 2028E**, confirming the model is not solely dependent on top-line growth to support the valuation.

$M	2024A	2025A	2026E	2027E	2028E
Revenue	$412	$509	$612	$720	$832
YoY Growth	—	26%	24%	20%	18%
Gross Margin	56%	60%	62%	63%	64%
GAAP Op Margin	13%	16%	21%	23%	25%
Non-GAAP Op Margin	14%	23%	26%	28%	30%
Net Income ($M)	—	$22	$51	$92	$118

CASH FLOW & BALANCE SHEET

Cash Flow View — FCF Margin Expands to 20% by 2028E

Free Cash Flow Profile

Adjusted FCF margin expands to **20% by 2028E**. Focus on *adjusted* FCF rather than headline operating cash flow — customer deposits and designated cash create noise in the reported figure that can mislead valuation analysis.

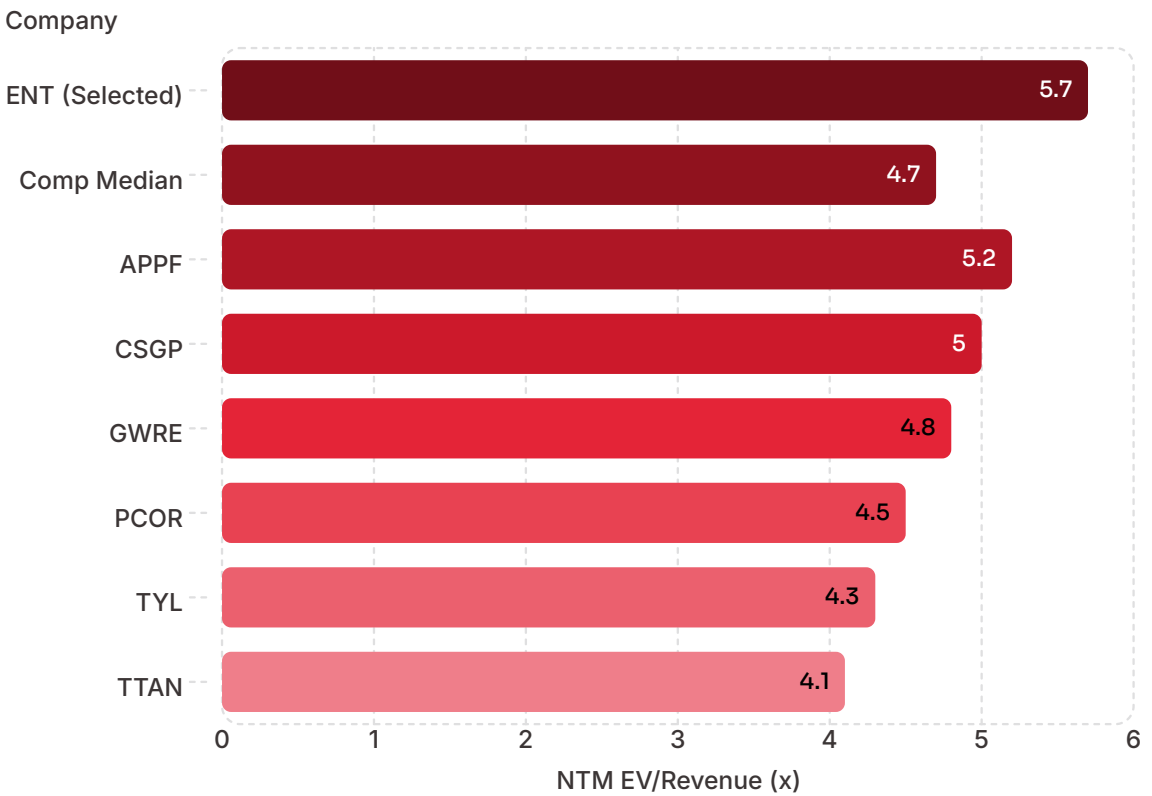
Capex is held constant at **3% of revenue**, consistent with normalised SaaS investment levels, leaving the FCF expansion story driven by operating leverage rather than capital starvation.

Balance Sheet Considerations

- **~$270M net debt** used in the bridge; designated and restricted cash excluded as these are tied to payment-processing flows.
- Debt repayment assumed at **$20M / $25M / $30M** across 2026E–2028E, reflecting disciplined deleveraging post-IPO.
- **IPO share count** remains a key sensitivity — final dilution assumptions should be stress-tested before submission.

RELATIVE VALUATION

Comparable Company Analysis — Premium Justified



Why ENT Deserves a Premium

- **Rule of 40 ~47%** — comfortably above vertical SaaS peers
- **117% net retention** — confirms expansion economics are working
- **Enterprise mix** — 84% of ARR from customers >$500K
- **ARPU whitespace** — modelled $256 vs. ~$580 high-ARPU benchmark
- **AI/data flywheel** — ELI+ monetisation layered on existing installed base

Refresh public comp multiples immediately before submission — market data moves daily.

TARGET PRICE

Target Price Calculation — $16.50/share

Primary Method: 2026E EV/Revenue

2026E Revenue	**$612M**
Selected EV/Revenue Multiple	**5.7x**
Implied Enterprise Value	**$3,490M**
Less: Net Debt	**($270M)**
Implied Equity Value	**$3,220M**
Fully Diluted Shares	**199.2M**
Implied Price (Primary)	**$16.15/share**

Weighted Framework & Final Target

The weighted valuation framework incorporates three cross-checks:

- 2026E EV/Revenue at 5.7x → **$16.15**
- 2027E EV/Revenue cross-check
- 2026E EV/Non-GAAP operating income cross-check

Blended weighted price: **$16.33/share**

$16.50

Rounded base target price per share

FINAL RECOMMENDATION

Constructive — $16.50/share Base Target

Upside Catalysts

ARPU Expansion

ELI+, embedded products, payments — modelled well below peak benchmark

Enterprise Penetration

Continued wins in the >$500K ARR cohort expand revenue durability

AI Monetisation

ELI+ layered on existing installed base with minimal incremental CAC

Key Risks to Monitor

Gross Retention

Decline from 99% → 97% warrants post-IPO monitoring

ETS / Payments Variability

Embedded and transactional revenue can be lumpy quarter-to-quarter

IPO Dilution & Governance

Final share count uncertainty; controlled-company structure and public company readiness

Sensitivity range: **~$15–$18/share**. ENT screens as a premium vertical software asset with unit growth, ARPU expansion, 117% net retention, enterprise adoption, and improving margins — a combination that supports a **$16.50/share base target price**.